ANNUAL OPERATING BUDGET

Westgate Homes | Naperville, IL

Property	Westgate Homes
Fiscal Year	2021
Submitted By	Lumen Residential Services
Submitted	May 22, 2019

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$255,745	$242,979	$244,413	-$11,332	-4.4%	$2,746.21
5010 Loss to Lease	$21,890	$20,146	$20,154	-$1,737	-7.9%	$226.44
5020 Vacancy Loss	$88,481	$87,376	$92,225	$3,744	4.2%	$1,036.23
5030 Concessions	$122,378	$130,426	$130,576	$8,198	6.7%	$1,467.15
5040 Bad Debt	$192,297	$196,180	$201,275	$8,977	4.7%	$2,261.51
5050 Late Fees	$138,039	$142,596	$147,254	$9,215	6.7%	$1,654.54
5060 Utility Reimbursements	$194,302	$207,661	$207,666	$13,364	6.9%	$2,333.33
5070 Parking Income	$69,605	$66,559	$69,008	-$597	-0.9%	$775.38
5080 Application Fees	$248,137	$248,013	$252,044	$3,907	1.6%	$2,831.95
5090 Pet Rent	$36,328	$34,499	$34,606	-$1,721	-4.7%	$388.83
5100 Laundry Income	$243,666	$235,418	$238,252	-$5,414	-2.2%	$2,676.99
5110 Cable/Internet Revenue	$216,946	$228,030	$241,009	$24,063	11.1%	$2,707.96
5120 CAM Reimbursements	$34,853	$36,455	$37,336	$2,483	7.1%	$419.51
5130 Tax Reimbursements	$52,131	$49,881	$53,370	$1,239	2.4%	$599.66
5140 Insurance Reimbursements	$183,570	$174,491	$180,830	-$2,740	-1.5%	$2,031.80
5150 Percentage Rent	$155,958	$154,590	$155,313	-$645	-0.4%	$1,745.10
5160 Misc. Income	$250,728	$258,954	$273,521	$22,793	9.1%	$3,073.27
5170 Payroll - Management	$115,100	$121,411	$124,909	$9,809	8.5%	$1,403.47
5180 Payroll - Leasing	$97,515	$92,111	$96,146	-$1,369	-1.4%	$1,080.29
5190 Payroll - Maintenance	$118,390	$112,856	$118,299	-$90	-0.1%	$1,329.21
5200 Payroll Taxes & Benefits	$188,326	$197,722	$203,014	$14,688	7.8%	$2,281.05
5210 Repairs - Plumbing	$46,321	$47,010	$50,280	$3,959	8.5%	$564.95
5220 Repairs - HVAC	$60,282	$55,726	$56,171	-$4,111	-6.8%	$631.13
5230 Repairs - Electrical	$115,263	$113,592	$120,337	$5,074	4.4%	$1,352.10
5240 Repairs - Appliances	$66,897	$68,434	$72,928	$6,031	9.0%	$819.42

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$235,262	$248,407	$264,374	$29,111	12.4%	$2,970.49
5430 Legal & Professional	$143,290	$143,022	$149,919	$6,629	4.6%	$1,684.48
5440 Accounting & Audit	$225,863	$241,574	$243,258	$17,395	7.7%	$2,733.23
5450 Licenses & Permits	$60,202	$62,867	$67,127	$6,925	11.5%	$754.24
5460 Management Fee	$210,492	$211,660	$224,570	$14,078	6.7%	$2,523.26
5470 Property Insurance	$121,061	$129,189	$132,725	$11,664	9.6%	$1,491.29
5480 Real Estate Taxes	$125,096	$119,550	$122,650	-$2,446	-2.0%	$1,378.09
5490 Asset Management Fee	$81,826	$87,878	$90,372	$8,546	10.4%	$1,015.41
5500 Replacement Reserves	$63,271	$61,522	$62,325	-$946	-1.5%	$700.28
5510 Roof Repairs	$103,568	$99,919	$102,849	-$719	-0.7%	$1,155.61
5520 Parking Lot Repairs	$185,157	$190,651	$202,560	$17,403	9.4%	$2,275.95
5530 Signage	$105,090	$100,336	$102,673	-$2,418	-2.3%	$1,153.63
5540 Tenant Improvements	$145,477	$137,255	$146,706	$1,229	0.8%	$1,648.38
5550 Leasing Commissions	$252,289	$260,713	$272,890	$20,601	8.2%	$3,066.18
5000 Gross Potential Rent	$227,772	$217,143	$219,638	-$8,134	-3.6%	$2,467.85
5010 Loss to Lease	$104,294	$108,550	$110,030	$5,736	5.5%	$1,236.29
5020 Vacancy Loss	$51,377	$50,040	$53,280	$1,904	3.7%	$598.65
5030 Concessions	$244,286	$260,116	$264,843	$20,557	8.4%	$2,975.77
5040 Bad Debt	$106,585	$102,859	$106,320	-$264	-0.2%	$1,194.61
5050 Late Fees	$97,195	$90,893	$94,724	-$2,471	-2.5%	$1,064.32
5060 Utility Reimbursements	$92,034	$96,770	$101,675	$9,641	10.5%	$1,142.41
5070 Parking Income	$224,232	$212,868	$217,052	-$7,179	-3.2%	$2,438.79
5080 Application Fees	$36,355	$37,834	$40,195	$3,840	10.6%	$451.63
5090 Pet Rent	$207,240	$218,900	$228,386	$21,147	10.2%	$2,566.14
5100 Laundry Income	$75,786	$78,546	$80,074	$4,288	5.7%	$899.71
5110 Cable/Internet Revenue	$185,116	$194,553	$206,280	$21,164	11.4%	$2,317.75
5120 CAM Reimbursements	$13,881	$13,522	$14,381	$500	3.6%	$161.58
5130 Tax Reimbursements	$247,442	$232,503	$238,905	-$8,537	-3.5%	$2,684.32
5140 Insurance Reimbursements	$247,437	$260,996	$276,307	$28,870	11.7%	$3,104.58
5150 Percentage Rent	$41,335	$39,952	$42,451	$1,116	2.7%	$476.98
5160 Misc. Income	$172,651	$163,805	$172,503	-$148	-0.1%	$1,938.24
5170 Payroll - Management	$12,618	$13,471	$13,976	$1,358	10.8%	$157.04
5180 Payroll - Leasing	$17,178	$17,025	$17,341	$163	0.9%	$194.85
5190 Payroll - Maintenance	$193,930	$183,476	$191,320	-$2,610	-1.3%	$2,149.67
5200 Payroll Taxes & Benefits	$93,152	$99,040	$104,873	$11,721	12.6%	$1,178.35
5210 Repairs - Plumbing	$186,454	$180,181	$188,347	$1,894	1.0%	$2,116.26
5220 Repairs - HVAC	$12,456	$13,386	$14,310	$1,854	14.9%	$160.79
5230 Repairs - Electrical	$240,008	$239,789	$248,537	$8,529	3.6%	$2,792.56
5240 Repairs - Appliances	$222,275	$227,692	$229,559	$7,284	3.3%	$2,579.31
5250 Painting & Decorating	$147,021	$138,512	$139,996	-$7,025	-4.8%	$1,572.98
5260 Flooring	$146,004	$146,831	$148,101	$2,097	1.4%	$1,664.06
5270 Make-Ready / Turnover	$219,319	$216,993	$231,792	$12,473	5.7%	$2,604.40

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Income and Expense Review

Debt service coverage ratio was 6.40x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $339,000 or approximately 31.88 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Effective gross income for the trailing period was $59,000, representing a 3.3% increase over the prior year. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $48,000 per home, and the in-house maintenance team handles most work orders within 37 days.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $398,000 per home, and the in-house maintenance team handles most work orders within 10 days. Operating expenses totaled $16,000 or approximately 45.59 per square foot, with real estate taxes representing the largest line item.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 17 hours. Turn costs average $319,000 per home, and the in-house maintenance team handles most work orders within 48 days. Collections for the period were 94.6% of billed charges, with bad debt of 5.0% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.4% of billed charges, with bad debt of 5.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Turn costs average $153,000 per home, and the in-house maintenance team handles most work orders within 24 days.

Operating Performance

Effective gross income for the trailing period was $279,000, representing a 5.2% increase over the prior year. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.01x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,928 square feet with average monthly rent of $2,138.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $406,000, representing a 10.0% increase over the prior year. Debt service coverage ratio was 6.23x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.78% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,928 square feet with average monthly rent of $2,138. Service requests are tracked through a work-order system with an average completion time of 6 hours. Turn costs average $339,000 per home, and the in-house maintenance team handles most work orders within 18 days.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Collections for the period were 94.6% of billed charges, with bad debt of 3.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members. Turn costs average $356,000 per home, and the in-house maintenance team handles most work orders within 8 days.

Valuation Discussion

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$52,839	$55,091	$58,691	$5,852	11.1%	$659.45
5290 Snow Removal	$183,127	$168,779	$173,318	-$9,808	-5.4%	$1,947.40
5300 Janitorial	$240,818	$224,923	$239,798	-$1,019	-0.4%	$2,694.36
5310 Pest Control	$112,542	$112,421	$113,588	$1,046	0.9%	$1,276.27
5320 Trash Removal	$102,280	$104,046	$109,062	$6,782	6.6%	$1,225.41
5330 Elevator Contract	$173,736	$160,971	$170,417	-$3,319	-1.9%	$1,914.79
5340 Fire & Life Safety	$75,830	$75,929	$76,247	$417	0.5%	$856.71
5350 Security	$90,578	$92,420	$95,392	$4,814	5.3%	$1,071.82
5360 Electricity - Common	$152,724	$141,725	$150,211	-$2,512	-1.6%	$1,687.77
5370 Gas - Common	$98,127	$101,397	$102,492	$4,365	4.4%	$1,151.59
5380 Water & Sewer	$187,917	$182,338	$194,663	$6,746	3.6%	$2,187.22
5390 Telephone/Internet	$222,935	$208,703	$221,128	-$1,807	-0.8%	$2,484.58
5400 Advertising	$74,708	$72,877	$75,040	$332	0.4%	$843.15
5410 Resident Events	$201,927	$193,384	$193,570	-$8,357	-4.1%	$2,174.95
5420 Office Supplies	$219,857	$229,690	$232,622	$12,765	5.8%	$2,613.73
5430 Legal & Professional	$237,112	$234,368	$243,870	$6,758	2.8%	$2,740.11
5440 Accounting & Audit	$200,230	$205,131	$208,412	$8,182	4.1%	$2,341.71
5450 Licenses & Permits	$51,721	$49,531	$52,757	$1,036	2.0%	$592.78
5460 Management Fee	$259,223	$260,117	$276,374	$17,151	6.6%	$3,105.32
5470 Property Insurance	$97,538	$96,998	$99,908	$2,370	2.4%	$1,122.56
5480 Real Estate Taxes	$241,553	$243,776	$250,221	$8,668	3.6%	$2,811.47
5490 Asset Management Fee	$122,046	$126,178	$131,402	$9,356	7.7%	$1,476.43
5500 Replacement Reserves	$92,854	$99,404	$104,985	$12,131	13.1%	$1,179.61
5510 Roof Repairs	$33,870	$31,531	$32,037	-$1,834	-5.4%	$359.96
5520 Parking Lot Repairs	$245,022	$254,172	$269,788	$24,767	10.1%	$3,031.33
5530 Signage	$101,779	$109,385	$116,504	$14,724	14.5%	$1,309.03
5540 Tenant Improvements	$193,447	$185,654	$192,888	-$559	-0.3%	$2,167.28
5550 Leasing Commissions	$111,423	$111,260	$116,951	$5,528	5.0%	$1,314.05
5000 Gross Potential Rent	$66,393	$64,367	$68,693	$2,300	3.5%	$771.83
5010 Loss to Lease	$120,003	$123,292	$128,217	$8,214	6.8%	$1,440.64
5020 Vacancy Loss	$216,451	$230,513	$230,858	$14,407	6.7%	$2,593.91
5030 Concessions	$254,113	$248,599	$255,671	$1,558	0.6%	$2,872.71
5040 Bad Debt	$147,952	$144,287	$153,117	$5,166	3.5%	$1,720.42
5050 Late Fees	$96,467	$92,745	$93,427	-$3,039	-3.2%	$1,049.74
5060 Utility Reimbursements	$73,626	$77,642	$81,546	$7,920	10.8%	$916.25
5070 Parking Income	$133,884	$131,460	$133,302	-$582	-0.4%	$1,497.77
5080 Application Fees	$247,748	$251,796	$266,111	$18,363	7.4%	$2,990.01
5090 Pet Rent	$89,079	$89,547	$92,683	$3,604	4.0%	$1,041.38
5100 Laundry Income	$35,029	$37,352	$38,677	$3,648	10.4%	$434.57
5110 Cable/Internet Revenue	$252,074	$241,670	$252,396	$321	0.1%	$2,835.91
5120 CAM Reimbursements	$145,117	$139,369	$148,102	$2,984	2.1%	$1,664.07
5130 Tax Reimbursements	$127,443	$130,498	$130,830	$3,387	2.7%	$1,470.00

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Operating Performance

Turn costs average $403,000 per home, and the in-house maintenance team handles most work orders within 25 days. Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $215,000, representing a 11.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 7.78x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $336,000 per home, and the in-house maintenance team handles most work orders within 38 days. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $149,000 per home, and the in-house maintenance team handles most work orders within 6 days. Service requests are tracked through a work-order system with an average completion time of 36 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Homes average 1,928 square feet with average monthly rent of $2,138.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Turn costs average $148,000 per home, and the in-house maintenance team handles most work orders within 12 days. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 96.0% of billed charges, with bad debt of 7.6% of gross potential income.

Financial Analysis

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Turn costs average $221,000 per home, and the in-house maintenance team handles most work orders within 2 days. Operating expenses totaled $192,000 or approximately 41.65 per square foot, with real estate taxes representing the largest line item. Homes average 1,928 square feet with average monthly rent of $2,138.

Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $427,000, representing a 13.4% increase over the prior year. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $311,000 or approximately 17.08 per square foot, with real estate taxes representing the largest line item.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 31 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 38 hours. Turn costs average $256,000 per home, and the in-house maintenance team handles most work orders within 26 days.

Operating Performance

Homes average 1,928 square feet with average monthly rent of $2,138. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.99x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.90% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $191,000 per home, and the in-house maintenance team handles most work orders within 11 days.

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Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$102,941	$103,471	$108,333	$5,392	5.2%	$1,217.22
5120 CAM Reimbursements	$62,492	$64,652	$67,408	$4,916	7.9%	$757.40
5130 Tax Reimbursements	$118,191	$109,606	$111,549	-$6,642	-5.6%	$1,253.36
5140 Insurance Reimbursements	$233,578	$239,739	$246,379	$12,801	5.5%	$2,768.30
5150 Percentage Rent	$246,200	$255,453	$262,016	$15,816	6.4%	$2,944.00
5160 Misc. Income	$230,016	$244,096	$255,206	$25,190	11.0%	$2,867.48
5170 Payroll - Management	$214,293	$203,561	$206,146	-$8,147	-3.8%	$2,316.25
5180 Payroll - Leasing	$34,754	$36,759	$37,306	$2,552	7.3%	$419.17
5190 Payroll - Maintenance	$106,414	$109,033	$110,969	$4,556	4.3%	$1,246.84
5200 Payroll Taxes & Benefits	$170,224	$177,728	$185,947	$15,724	9.2%	$2,089.30
5210 Repairs - Plumbing	$133,884	$132,957	$133,675	-$209	-0.2%	$1,501.96
5220 Repairs - HVAC	$50,084	$47,702	$49,210	-$874	-1.7%	$552.92
5230 Repairs - Electrical	$190,331	$187,830	$199,133	$8,801	4.6%	$2,237.45
5240 Repairs - Appliances	$150,205	$140,300	$141,648	-$8,558	-5.7%	$1,591.55
5250 Painting & Decorating	$146,164	$142,047	$151,963	$5,799	4.0%	$1,707.45
5260 Flooring	$177,675	$184,720	$195,525	$17,850	10.0%	$2,196.91
5270 Make-Ready / Turnover	$94,834	$90,980	$96,587	$1,754	1.8%	$1,085.25
5280 Landscaping Contract	$49,035	$47,406	$49,698	$662	1.4%	$558.40
5290 Snow Removal	$209,051	$222,646	$227,704	$18,653	8.9%	$2,558.47
5300 Janitorial	$56,891	$58,008	$60,613	$3,721	6.5%	$681.04
5310 Pest Control	$13,346	$13,987	$14,565	$1,219	9.1%	$163.65
5320 Trash Removal	$203,186	$214,694	$220,074	$16,888	8.3%	$2,472.75
5330 Elevator Contract	$70,034	$71,980	$75,340	$5,306	7.6%	$846.52
5340 Fire & Life Safety	$76,825	$80,727	$80,827	$4,003	5.2%	$908.17
5350 Security	$55,575	$54,796	$57,948	$2,373	4.3%	$651.10
5360 Electricity - Common	$201,088	$212,434	$222,995	$21,907	10.9%	$2,505.56
5370 Gas - Common	$118,837	$123,012	$124,551	$5,714	4.8%	$1,399.45
5380 Water & Sewer	$241,175	$250,658	$258,170	$16,995	7.0%	$2,900.78
5390 Telephone/Internet	$78,807	$78,664	$82,382	$3,575	4.5%	$925.64
5400 Advertising	$232,323	$228,175	$231,509	-$814	-0.4%	$2,601.23
5410 Resident Events	$163,719	$174,067	$178,055	$14,335	8.8%	$2,000.62
5420 Office Supplies	$238,813	$245,085	$246,855	$8,042	3.4%	$2,773.65
5430 Legal & Professional	$146,981	$148,437	$150,619	$3,638	2.5%	$1,692.35
5440 Accounting & Audit	$243,185	$258,732	$273,193	$30,008	12.3%	$3,069.58
5450 Licenses & Permits	$224,726	$227,682	$240,481	$15,755	7.0%	$2,702.04
5460 Management Fee	$143,056	$147,322	$152,385	$9,329	6.5%	$1,712.19
5470 Property Insurance	$219,313	$234,963	$248,929	$29,616	13.5%	$2,796.95
5480 Real Estate Taxes	$203,899	$217,948	$217,953	$14,053	6.9%	$2,448.91
5490 Asset Management Fee	$97,778	$98,642	$100,509	$2,731	2.8%	$1,129.31
5500 Replacement Reserves	$102,325	$101,742	$101,910	-$415	-0.4%	$1,145.06
5510 Roof Repairs	$200,053	$206,330	$210,587	$10,535	5.3%	$2,366.15

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Income and Expense Review

Homes average 1,928 square feet with average monthly rent of $2,138. The going-in capitalization rate of 6.79% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $38,000, representing a 2.8% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Homes average 1,928 square feet with average monthly rent of $2,138. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $125,000 per home, and the in-house maintenance team handles most work orders within 14 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 28 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Turn costs average $21,000 per home, and the in-house maintenance team handles most work orders within 24 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Service requests are tracked through a work-order system with an average completion time of 40 hours. Homes average 1,928 square feet with average monthly rent of $2,138. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Debt service coverage ratio was 7.02x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $8,000, representing a 9.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.33% reflects the in-place income and the stabilized occupancy assumption.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $473,000 or approximately 27.76 per square foot, with real estate taxes representing the largest line item. Turn costs average $245,000 per home, and the in-house maintenance team handles most work orders within 32 days. The going-in capitalization rate of 6.63% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $47,000, representing a 8.7% increase over the prior year.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $402,000 per home, and the in-house maintenance team handles most work orders within 16 days. Service requests are tracked through a work-order system with an average completion time of 18 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 14 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Collections for the period were 93.7% of billed charges, with bad debt of 6.4% of gross potential income. Homes average 1,928 square feet with average monthly rent of $2,138. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5040 Bad Debt	$206,228	$209,967	$211,625	$5,397	2.6%	$2,377.80
5050 Late Fees	$256,622	$247,890	$253,425	-$3,197	-1.2%	$2,847.47
5060 Utility Reimbursements	$160,776	$154,275	$154,841	-$5,935	-3.7%	$1,739.79
5070 Parking Income	$90,993	$94,454	$95,595	$4,601	5.1%	$1,074.10
5080 Application Fees	$133,622	$143,645	$146,395	$12,773	9.6%	$1,644.88
5090 Pet Rent	$224,694	$221,692	$233,918	$9,224	4.1%	$2,628.29
5100 Laundry Income	$227,253	$212,594	$222,850	-$4,403	-1.9%	$2,503.93
5110 Cable/Internet Revenue	$203,334	$191,372	$191,922	-$11,412	-5.6%	$2,156.43
5120 CAM Reimbursements	$82,478	$83,441	$87,464	$4,986	6.0%	$982.74
5130 Tax Reimbursements	$168,500	$174,036	$182,810	$14,310	8.5%	$2,054.05
5140 Insurance Reimbursements	$68,603	$67,192	$70,782	$2,179	3.2%	$795.31
5150 Percentage Rent	$126,955	$126,105	$127,047	$92	0.1%	$1,427.49
5160 Misc. Income	$147,051	$156,628	$158,767	$11,716	8.0%	$1,783.90
5170 Payroll - Management	$142,693	$136,441	$140,554	-$2,139	-1.5%	$1,579.26
5180 Payroll - Leasing	$259,849	$254,480	$264,794	$4,944	1.9%	$2,975.21
5190 Payroll - Maintenance	$183,959	$178,191	$181,388	-$2,571	-1.4%	$2,038.06
5200 Payroll Taxes & Benefits	$246,111	$241,538	$248,718	$2,607	1.1%	$2,794.58
5210 Repairs - Plumbing	$151,183	$145,261	$149,425	-$1,758	-1.2%	$1,678.93
5220 Repairs - HVAC	$123,891	$116,851	$120,445	-$3,446	-2.8%	$1,353.31
5230 Repairs - Electrical	$65,851	$61,134	$63,431	-$2,420	-3.7%	$712.71
5240 Repairs - Appliances	$23,682	$23,212	$23,224	-$458	-1.9%	$260.94
5250 Painting & Decorating	$57,876	$54,788	$54,941	-$2,935	-5.1%	$617.32
5260 Flooring	$141,626	$145,429	$154,031	$12,406	8.8%	$1,730.69
5270 Make-Ready / Turnover	$77,295	$72,785	$77,072	-$223	-0.3%	$865.98
5280 Landscaping Contract	$252,945	$264,426	$267,287	$14,342	5.7%	$3,003.23
5290 Snow Removal	$62,425	$64,272	$65,232	$2,807	4.5%	$732.94
5300 Janitorial	$52,309	$48,234	$50,563	-$1,745	-3.3%	$568.13
5310 Pest Control	$114,270	$120,894	$124,739	$10,469	9.2%	$1,401.56
5320 Trash Removal	$203,764	$187,766	$188,866	-$14,897	-7.3%	$2,122.09
5330 Elevator Contract	$223,431	$227,102	$231,030	$7,599	3.4%	$2,595.84
5340 Fire & Life Safety	$166,589	$159,814	$161,203	-$5,386	-3.2%	$1,811.27
5350 Security	$125,473	$122,789	$125,185	-$289	-0.2%	$1,406.57
5360 Electricity - Common	$22,665	$23,765	$23,940	$1,275	5.6%	$268.99
5370 Gas - Common	$257,459	$270,947	$273,263	$15,804	6.1%	$3,070.37
5380 Water & Sewer	$243,930	$249,489	$255,963	$12,033	4.9%	$2,875.99
5390 Telephone/Internet	$197,638	$199,280	$208,034	$10,396	5.3%	$2,337.46
5400 Advertising	$93,303	$97,636	$102,285	$8,982	9.6%	$1,149.26
5410 Resident Events	$191,032	$204,067	$204,153	$13,121	6.9%	$2,293.85
5420 Office Supplies	$174,937	$185,180	$196,964	$22,027	12.6%	$2,213.07
5430 Legal & Professional	$100,859	$99,830	$100,667	-$192	-0.2%	$1,131.09
5440 Accounting & Audit	$192,878	$190,381	$201,670	$8,793	4.6%	$2,265.96
5450 Licenses & Permits	$212,783	$195,976	$200,483	-$12,300	-5.8%	$2,252.62
5460 Management Fee	$157,561	$148,167	$148,974	-$8,587	-5.4%	$1,673.87

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.40% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,928 square feet with average monthly rent of $2,138.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $227,000 per home, and the in-house maintenance team handles most work orders within 15 days. Debt service coverage ratio was 5.38x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,928 square feet with average monthly rent of $2,138. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Collections for the period were 93.2% of billed charges, with bad debt of 5.6% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 6 hours. Collections for the period were 94.9% of billed charges, with bad debt of 6.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $123,000, representing a 9.8% increase over the prior year. Operating expenses totaled $158,000 or approximately 29.44 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $334,000 or approximately 43.46 per square foot, with real estate taxes representing the largest line item. Turn costs average $332,000 per home, and the in-house maintenance team handles most work orders within 39 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.68% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 38 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.0% of billed charges, with bad debt of 3.1% of gross potential income.

Turn costs average $262,000 per home, and the in-house maintenance team handles most work orders within 30 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Collections for the period were 88.1% of billed charges, with bad debt of 4.4% of gross potential income. Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

The going-in capitalization rate of 7.53% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.85x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,928 square feet with average monthly rent of $2,138. Effective gross income for the trailing period was $446,000, representing a 9.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Homes average 1,928 square feet with average monthly rent of $2,138. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Effective gross income for the trailing period was $200,000, representing a 14.0% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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Summary and Notes

Valuation Discussion

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.51x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $143,000 or approximately 30.17 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $134,000, representing a 3.2% increase over the prior year. Turn costs average $74,000 per home, and the in-house maintenance team handles most work orders within 8 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $281,000 per home, and the in-house maintenance team handles most work orders within 35 days. Operating expenses totaled $408,000 or approximately 35.51 per square foot, with real estate taxes representing the largest line item.

Property Operations

Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $341,000 per home, and the in-house maintenance team handles most work orders within 8 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $351,000 per home, and the in-house maintenance team handles most work orders within 31 days. Service requests are tracked through a work-order system with an average completion time of 13 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

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